CHAPTER 19

M O N E Y A N D F I N A N C E

THE MONETARY SYSTEM

From the British military occupation of Palestine during World War I to November 1927, Egyptian currency circulated in Palestine and was recognized as legal tender. The Egyptian pound (£E) was firmly linked to the pound sterling (£) by Egyptian sterling reserves and sterling convertibility. On November 1, 1927 this Egyptian currency began to be replaced by Palestinian currency. On April 1, 1928 the Palestinian currency was made the sole legal tender. This Palestinian currency was also firmly linked to the £, at an exchange rate of one for one. The sterling value of the Egyptian currency that was called in constituted a 100 percent sterling reserve for the new issue. Additional Palestinian currency was issued only in exchange for sterling. The Palestinian pound (£P) has, therefore, always had a sterling reserve of 100 percent (or more). The £P is, in fact, sterling in the thinnest disguise.

The currency affairs of Palestine are managed by the Palestine Currency Board. The Board is appointed by the United Kingdom Secretary of State for the Colonies, in agreement with the British Treasury. The Board sits in London and conducts its currency exchange business in Palestine through an Agent, Barclay's Bank. The Agent has no discretion. His sole function is to exchange pounds sterling for pounds Palestinian, and vice versa. The Board charges one-eighth of one percent for this service.

Though the Palestinian pound has always been exchangeable with the British, one for one, Palestine has not adopted the British fractional units of shillings and pence. The Palestinian pound is divided instead into 1000 mils. In addition to notes of larger